The Difference Between Chapter 7 and Chapter 11 Bankruptcy

Both businesses and individuals can file for Chapter 7 or Chapter 11 bankruptcy. Filing carries consequences, but it can give you a structured path to address debt and regain financial control.

In this blog post, you'll learn about chapter 7 versus chapter 11 bankruptcy, what each option involves, when to consider them, and how to determine if you qualify. If you need help deciding the best path forward, call Cozmyk Law to speak with one of our foreclosure lawyers about your options.

The Different Types of Bankruptcy

Many people and business owners flinch when they hear the word bankruptcy. It carries serious financial and legal consequences, and it often signals that debt has reached a breaking point. However, bankruptcy exists to provide a legal framework that helps individuals and businesses address overwhelming debt in an organized way.

The following sections describe chapter seven and eleven bankruptcy in detail:

Chapter Seven Bankruptcy

Chapter Seven Bankruptcy focuses on bankruptcy liquidation. The court appoints a trustee who reviews your assets, sells non-exempt property, and uses the proceeds to pay creditors. In exchange, the court typically grants a debt discharge that eliminates qualifying unsecured debts such as credit cards and medical bills.

Individuals often choose chapter seven when income limits prevent them from repaying debt through a structured plan. Businesses may also file chapter seven if they plan to close and liquidate operations rather than continue running the company.

Chapter Eleven Bankruptcy

Chapter eleven bankruptcy centers on business reorganization. Instead of liquidating assets, the filer proposes a repayment plan that restructures debts and allows operations to continue. The court and creditors must approve this plan before it takes effect.

Businesses commonly use chapter eleven to renegotiate contracts, reduce certain obligations, and create a manageable payment structure. Individuals with complex or high-value assets may also use chapter eleven when chapter seven does not fit their financial situation.

Determining Your Bankruptcy Eligibility

Eligibility for each type of bankruptcy depends on factors such as your income, the type and amount of debt you carry, your assets, and your long-term financial goals.

The most reliable way to determine your bankruptcy eligibility is to schedule a consultation with a lawyer from Cozmyk Law. An attorney will review your financial records, explain how bankruptcy liquidation, business reorganization, or debt discharge may apply to your situation, and help you choose the option that fits your needs. A consultation gives you clear answers and a defined path forward instead of guesswork.

Call Cozmyk Law To Schedule a Consultation

Just because the word bankruptcy carries a negative reputation does not mean it will harm your future beyond repair. Federal law provides this process to give individuals and businesses a structured way to address debt and work toward financial stability again.

If you’re still having trouble understanding chapter 7 versus chapter 11 bankruptcy, or which option is best for you, call Cozmyk Law to schedule a consultation and learn more.

Think you qualify for bankruptcy exemptions? Read our other blog post to learn what property you can protect and how the process works.